

The maximum number of partners is not specified/ prescribed in the Indian Partnership Act, 1932. But, the Indian Companies Act, 2013 specifies the maximum number of partners.

As per Section 464(1) of the Indian Companies Act, 2013, no association or partnership consisting of more than such number of persons as may be prescribed shall be formed for the purpose of carrying on any business, provided that the number of persons which may be prescribed under this sub-section shall not exceed one hundred. Rule 10 of Companies (Miscellaneous) Rules 2014 specifies the limit as 50. Thus, the maximum number of partners in a partnership firm is 50.

3.3 Partnership deed

Partnership deed is a document in writing that contains the terms of the agreement among the partners. It is not compulsory for a partnership to have a partnership deed as per the Indian Partnership Act, 1932. But, it is desirable to have a partnership deed as it serves as an evidence of the terms of the agreement among the partners.

3.3.1 Contents of partnership deed

Generally, partnership deed contains the following:

1. Name of the firm and nature and place of business
2. Date of commencement and duration of business
3. Names and addresses of all partners
4. Capital contributed by each partner
5. Profit sharing ratio
6. Amount of drawings allowed to each partner
7. Rate of interest to be allowed on capital
8. Rate of interest on drawings of partners
9. Rate of interest on loans provided by partners
10. Amount of salary to be allowed to any partner
11. Maintenance of accounts and audit procedures
12. Procedure for admission of a new partner
13. Procedure for retirement of a partner and settlement of dues to the retired partner
14. Method of valuation of goodwill and valuation of assets and liabilities at the time of admission or retirement or death of a partner.
15. Appointment of executors in case of death of a partner and settlement of dues to the legal heirs.
16. Settlement of accounts on dissolution of the firm.

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